

1.2 Spotting a business opportunity

Paper 1 / Theme 1 · Edexcel GCSE Business 1BS0

Standalone past-paper question bank

Each entry shows the original paper pages (the entire question — case study extract, data tables, figures, and the question itself) followed by the mark scheme answer for that specific sub-question.

- **Total questions:** 38
- **Total marks:** 109
- **Sub-topics covered:** 4
- **Original PDF pages embedded:** 110

By series:

- **Specimen SAMs:** 6 questions
- **June 2019:** 6 questions
- **Nov 2020:** 7 questions
- **Nov 2021:** 5 questions
- **June 2022:** 3 questions
- **June 2023:** 7 questions
- **June 2024:** 4 questions

1.2.1 Customer needs (7 questions)

Specimen SAMs · Paper 1 · Q2(b) · \$A

MCQ

2 marks

Look at this sub-question (Q2(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 8 (SPECIMEN SAMS PAPER 1)

A, D

Look at this sub-question (Q3(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (JUNE 2019 PAPER 1)

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3 (a) Which **one** of the following is an example of a cash outflow for a small business?

Select **one** answer.

(1)

- ☐ A Bank loan
- ☐ B Personal savings
- ☐ C Raw materials
- ☐ D Receipts

Figure 1 shows information about the financial performance of a business from January to March.

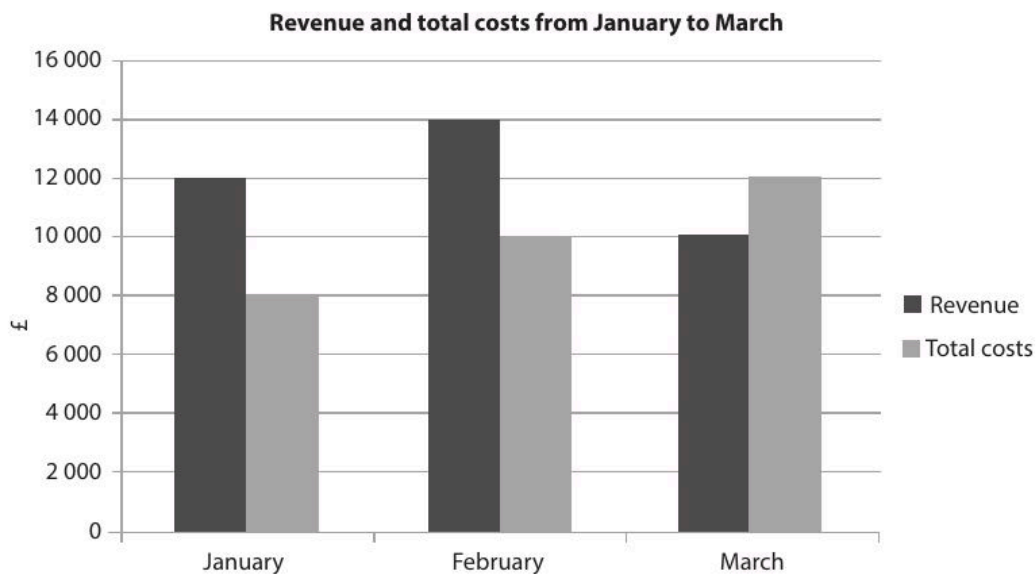


Figure 1

(b) Using the information in Figure 1, calculate the total profit for the period January to March. You are advised to show your workings.

(2)

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7

Turn over ►

(c) Explain **one** benefit to a small business of understanding customer needs.

(3)

(d) Explain **one** reason why it is important to include financial information in a business plan.

(3)

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TOTAL FOR SECTION A = 35 MARKS



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Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. One benefit to a small business of understanding customer needs is that it can set a suitable price (1). This means customers are more likely to buy the product (1). This will generate more revenue for the business (1). The small business can develop the quality of the product to meet customer needs (1). This means the business can gain a competitive advantage (1), which allows the business to gain a larger market share (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q4(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 9, 10, 11 (NOV 2021 PAPER 1)

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SECTION B**Answer ALL questions.****Read the following extract before answering Questions 4, 5 and 6.****Write your answers in the spaces provided.**

Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour.



(Source: Mike Flippo/Shutterstock)

Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from *Sports Tours Ltd*.

In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams.

Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities.

(Source: adapted from <https://www.sports-tours.co.uk/about>)



P 6 7 6 1 9 A 0 9 2 4

4 (a) Outline **one** way that *Sports Tours Ltd* meets customer needs.

(2)

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(b) Analyse the impact of the internet on the location of *Sports Tours Ltd's* premises.

(6)

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(Total for Question 4 = 8 marks)



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11

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Award up to 2 marks for linked points outlining a suitable way for Sports Tours Ltd to meet customer needs.
Award a maximum of 1 mark if points are not linked.

Sports Tours Ltd offer its customers a choice of products (1). This includes tours in sports such as football, rugby, hockey and netball (1).

Sports Tours Ltd ensure the tours are high quality (1). It carries out full risk assessments for all tours. (1).

Do not accept a way that would not be appropriate for Sports Tours Ltd.

Look at this sub-question (Q2(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2022 PAPER 1)

2 (a) Which **two** of the following are examples of a service?

(2)

Select **two** answers.

- ☐ A Birthday cake
- ☐ B Fitness class
- ☐ C Mobile phone
- ☐ D Newspaper
- ☐ E Train journey

(b) Which **two** of the following are examples of cash inflows?

(2)

Select **two** answers.

- ☐ A Bank loan
- ☐ B Insurance
- ☐ C Raw materials
- ☐ D Receipts
- ☐ E Wages

Table 1 contains information about a small business for one month.

Number of sales	2,700
Variable costs (per unit)	£6
Sales price (per unit)	£20
Break even level of output	1,500

Table 1

(c) Using the information in Table 1, calculate the margin of safety. You are advised to show your workings.

(2)

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(d) Explain **one** disadvantage to a small business of using an overdraft as a source of business finance.

(3)

(e) Explain **one** impact on a small business of an increase in unemployment.

(3)

(Total for Question 2 = 12 marks)



P 6 5 5 6 1 A 0 5 2 4

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Turn over ►

The only correct answers are B – Fitness Class and E – Train journey. A is not correct because it is an example of a product. C is not correct because it is an example of a product. D is not correct because it is an example of a product.

Look at this sub-question (Q2(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2023 PAPER 1)

2 (a) Which **two** of the following are examples of customer needs?

(2)

Select **two** answers.

- ☐ A Choice
- ☐ B Profit
- ☐ C Quality
- ☐ D Risk
- ☐ E Taxation

(b) Which **two** of the following are roles of an entrepreneur?

(2)

Select **two** answers.

- ☐ A Going to university
- ☐ B Organising resources
- ☐ C Personal satisfaction
- ☐ D Taking risks
- ☐ E To be a sole trader

Table 1 contains information about a small business.

Fixed costs	£10 000
Variable cost	£2.50 per unit
Selling price	£5.00 per unit
Break even level of output	4,000 units

Table 1

The business increases the selling price of its product to £6.50 per unit.

(c) Using the information in Table 1, calculate the decrease in the break even level of output. You are advised to show your workings.

(2)

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(d) Explain **one** way a small business could become more competitive.

(3)

(e) Explain **one** advantage to a small business of meeting its legal obligations.

(3)

(Total for Question 2 = 12 marks)

5

Turn over ►



The only correct answers are A – Choice and C – Quality. B is not correct because it is not a customer need. D is not correct because it is not a customer need. E is not correct because it is not a customer need.

Look at this sub-question (Q7(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 17, 18, 19, 20, 21, 22, 27 (JUNE 2023 PAPER 1)

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SECTION C**Answer ALL questions. Write your answers in the spaces provided.****In the Source Booklet, look at Figure 3 and read Extract B, then answer Question 7.**

- 7 (a) State **one** example of a risk for an investor in *Ripple*.

(1)

Table 4 shows the percentage of different energy types used to produce electricity in the UK in 2018 and 2019.

2018		2019	
Type of energy	% of use	Type of energy	% of use
Gas	39.4	Gas	40.6
Renewables	33.3	Renewables	37.1
Nuclear	19.5	Nuclear	17.3
Coal	5.0	Coal	2.2
Oil	2.8	Oil	2.8

Table 4

(Source: adapted from <https://smarterbusiness.co.uk/blogs/where-does-the-uk-energy-supply-come-from/>)

- (b) Using the information in Table 4, identify which type of energy use declined the most between 2018 and 2019.

(1)



P 7 1 0 3 6 A 0 1 7 2 4

17

Turn over ►

(c) Outline **one** benefit to customers from *Ripple* asking questions to identify its customer needs.

(2)

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In order to help small businesses, such as *Ripple*, become successful the UK government is considering two options:

Option 1: reduce the tax paid by small businesses

Option 2: provide free training if businesses recruit new employees.

(d) Justify which **one** of these two options would have the most significant impact on the success of *Ripple*.

(9)

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(e) Evaluate the importance of price in *Ripple*'s marketing mix. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B



(Source: © fokke baarssen/Shutterstock)

Figure 3

Ripple is an energy company aimed at providing green and renewable energy to homes and businesses across the UK. It is the country's first consumer-owned wind farm, generating green energy that does not have a damaging effect on the environment. Instead of customers paying *Ripple* to supply them with energy they become members of the business and buy a part of a wind farm located in a remote area of South Wales. Customers are then supplied with energy to their homes based on the amount of money they invested. The amount of money that customers can invest varies on their energy needs, but *Ripple* claims that it can supply energy cheaper than its competitors.

The process of becoming a member is very simple. Firstly, *Ripple* will ask customers a few questions to identify their energy needs. It will then create a green energy plan to establish how much each customer should invest into the wind farm. *Ripple* manages the wind farm and provides energy to each customer's home or business.

Ripple's business plan fits in with the UK government's cleaner energy strategy. This strategy includes plans for the country to have net zero carbon emissions by 2050 and to create 220,000 new jobs in the green energy sector of the economy.

(Source: adapted from <https://rippleenergy.com/>)

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Award up to 2 marks for linked points outlining a benefit to customers of Ripple. Award a maximum of 1 mark if points are not linked. Customers will receive the correct green energy plan (1). This will make sure they receive the correct amount of energy for their needs (1). Customers will invest the correct amount of money into the wind farm (1). This will lead them to get the best return on their money (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

Look at this sub-question (Q4(b), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 9, 10, 26 (JUNE 2024 PAPER 1)

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SECTION B

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

- 4 (a) Outline **one** possible risk to Keilan from setting up *Adikoggz*.

(2)



P 7 5 5 2 5 A 0 9 2 4

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Turn over ►

(b) Analyse the importance to *Adikoggz* of identifying customer needs.

(6)

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(Total for Question 4 = 8 marks)

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SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.



(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from <https://www.adikoggz.com/> and <https://www.facebook.com/adikoggz>)



Indicative content: It is important to identify what price customers are willing to pay for trainers to be cleaned or customised (AO2). Keilan has to select popular football teams and music bands to base his customisations on (AO2). Customers may not be willing to pay £20 to get their trainers cleaned and it may not be profitable for Keilan to charge any less than this. To be successful he needs to find a price that customers feel offers value for money but also allows him to make a profit (AO3a). This will offer more choice to customers. If he selects football teams and music bands that have a lot of fans, then Adikoggz stands a better chance of attracting customers and meeting their needs (AO3a). Level 1 (1-2): Limited application. Level 2 (3-4): Sound application with some inconsistencies. Level 3 (5-6): Detailed application throughout with detailed interconnected points and logical chains of reasoning.

1.2.2 Market research (10 questions)

Specimen SAMs · Paper 1 · Q2(a) · \$A

MCQ

2 marks

Look at this sub-question (Q2(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 8 (SPECIMEN SAMS PAPER 1)

C, E

Look at this sub-question (Q2(e), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (JUNE 2019 PAPER 1)

2 (a) Which **two** of the following are elements of the marketing mix?

Select **two** answers.

(2)

- ☐ A Payment
- ☐ B Planning
- ☐ C Price
- ☐ D Product
- ☐ E Profit

(b) Which **two** of the following areas are covered by employment law?

Select **two** answers.

(2)

- ☐ A Consumer rights
- ☐ B Discrimination
- ☐ C E-commerce
- ☐ D Health and safety
- ☐ E Quality of products

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Table 1 contains information about a small business for one month. The business sold 340 units in this month.

Fixed costs	£3 600
Variable costs (per unit)	£9

Table 1

- (c) Using the information in Table 1, calculate the total costs for one month. You are advised to show your workings.

(2)

£

- (d) Explain **one** possible non-financial aim an entrepreneur may have when starting a small business.

(3)



P 5 9 9 2 5 A 0 5 2 4

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(e) Explain **one** disadvantage to a small business of using qualitative data for market research.

(3)

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(Total for Question 2 = 12 marks)

6



Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Responses are based on a person's opinions (1). This means they can be very varied (1) therefore making it difficult to make a judgement on customer preferences (1). Qualitative data is mostly non-numeric (1). This makes it difficult to analyse the data (1). This can mean it is difficult to make decisions based on this data (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q6(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17 (JUNE 2019 PAPER 1)

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6 The new head chef carried out secondary market research to identify information about the food market.

(a) State **one** benefit to *Last Course Patisserie* of conducting secondary market research.

(1)

(b) Outline **one** impact on a stakeholder group of *Last Course Patisserie* if it relocates to new premises.

(2)



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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



P 5 9 9 2 5 A 0 1 7 2 4

17

Turn over ►

Award 1 mark for stating one benefit to Last Course Patisserie of conducting secondary market research. Research into food purchases has already been carried out thus saving time (1). It is more convenient as it can be difficult finding customers with in rural areas such as Devon (1). Sources such as the government provide validated information on amount of money households spend on food (1). Accept any other appropriate response. Do not accept benefits that would not be appropriate for Last Course Patisserie. For example, Last Course Patisserie could use secondary research to fully understand customer needs.

Look at this sub-question (Q2(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (NOV 2020 PAPER 1)

2 (a) Which **two** of the following are examples of secondary market research?

(2)

Select **two** answers.

- ☐ A Focus group
- ☐ B Internet
- ☐ C Market report
- ☐ D Observation
- ☐ E Survey

(b) Which **two** of the following are examples of variable costs?

(2)

Select **two** answers.

- ☐ A Advertising
- ☐ B Insurance
- ☐ C Packaging
- ☐ D Raw materials
- ☐ E Rent

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Table 1 contains information about cash payments of a small business in one month. The business sold 200 units in this month. All customers paid in cash.

Selling price	£15
Rent	£500
Wages	£1 000
Advertising	£150

Table 1

- (c) Using the information in Table 1, calculate the net cash flow for this month. You are advised to show your workings.

(2)

£

- (d) Explain **one** disadvantage of starting a small business as a partnership.

(3)



P 6 1 6 4 6 A 0 5 2 4

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Turn over ►

(e) Explain **one** way the marketing mix of a small business may change due to changing consumer needs.

(3)

(Total for Question 2 = 12 marks)

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The only correct answers are B - Internet and C - Market report. A is not correct because it is a method of primary market research. D is not correct because it is a method of primary market research. E is not correct because it is a method of primary market research.

Look at this sub-question (Q1(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (NOV 2021 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is a long-term source of finance?

(1)

Select **one** answer.

- ☐ A Overdraft
- ☐ B Revenue
- ☐ C Trade credit
- ☐ D Venture capital

- (b) Which **one** of the following could be used to identify customer needs?

(1)

Select **one** answer.

- ☐ A Business idea
- ☐ B Business objectives
- ☐ C Market research
- ☐ D Marketing mix

- (c) Explain **one** drawback to a business of having low levels of cash.

(3)

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(d) Explain **one** way an entrepreneur can reduce the risk of failure when starting a new business.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

Look at this sub-question (Q2(e), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (NOV 2021 PAPER 1)

2 (a) Which **two** of the following can be interpreted from a break even diagram?

(2)

Select **two** answers.

- ☐ A Insolvency
- ☐ B Margin of safety
- ☐ C Market share
- ☐ D Net cash flow
- ☐ E Profit

(b) Which **two** of the following are types of technology that could be used by a business?

(2)

Select **two** answers.

- ☐ A Consumer law
- ☐ B Crowd funding
- ☐ C Digital communication
- ☐ D Marketing mix
- ☐ E Payment systems

Table 1 shows the cash-flow forecast for a small business.

(c) Complete the table with the **two** missing figures.

(2)

	May (£)	June (£)
Cash inflows	12 600	13 400
Cash outflows	8 200	9 100
Net cash flow	4 400	(ii)
Opening balance	600	5 000
Closing balance	(i)	9 300

Table 1



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(d) Explain **one** reason why an entrepreneur may adapt an existing product to come up with a new business idea.

(3)

(e) Explain **one** disadvantage to a small business of using a focus group to collect market research data.

(3)

(Total for Question 2 = 12 marks)



P 6 7 6 1 9 A 0 5 2 4

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Turn over ►

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks.

Focus groups can be expensive to arrange (1). A business may have to pay people to participate in the focus group (1). This will lead to an increase of market research costs for a small business (1).

The moderator can influence the responses of the participants (1). This is because they may have pre-conceived ideas of what they want outcomes to be (1). This can therefore lead to bias in the outcomes of the focus group (1).

Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q6(c), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 14, 15, 16 (JUNE 2022 PAPER 1)

- 6 (a) State **one** non-financial aim that Melanie may have had when starting *Little Movers*.

(1)

- (b) Outline **one** benefit to *Little Movers* of having an online booking system.

(2)

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Little Movers is considering two options to carry out market research for possible new franchises in Poland:

Option 1: internet research to identify competitors in Poland

Option 2: conducting focus groups with parents living in Poland.

(c) Justify which **one** of these two options *Little Movers* should choose.

(9)

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Handwriting practice area with 10 horizontal lines.

(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS

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Indicative content: Internet research to find out about dance schools is cheap and convenient to carry out (AO2). Focus groups could be used to ask specific questions to parents on the types of services they want for their children (AO2). There will be a wide number of websites that can be used to check if there are similar business that offer pre-school classes in Poland. This can be used to see if there is a lot of competition in the market or if a gap in the market exists (AO3a). This will allow Melanie to see if her existing franchise model would work in Poland, or if it will need to adapt to suit the new market. Pre-school age groups may be different in other countries (AO3a). However, the reliability and language barriers of internet research can be an issue. The websites of the dance schools may be out of date and do not give any indication whether the business is successful or not (AO3b). However, this would be more expensive than secondary research as she will have to take more time to conduct the research. She will also have to travel to Poland. This leaves less time to prepare new lesson plans for the franchises in the UK (AO3b). Levels: Level 0 No rewardable material. Level 1 (1–3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4–6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7–9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Look at this sub-question (Q1(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2023 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following could market mapping be used for?

(1)

Select **one** answer.

- ☐ A Identifying how many customers there are in a market
- ☐ B Identifying how many employees work in a business
- ☐ C Spotting where there is a gap in the market
- ☐ D To identify the location of a business

- (b) Which **one** of the following is an impact of a decrease in interest rates?

(1)

Select **one** answer.

- ☐ A Businesses will borrow less money
- ☐ B Customers will borrow less money
- ☐ C Customers will borrow more money
- ☐ D Repayments on loans should go up

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(c) Explain **one** advantage of starting a business as a private limited company.

(3)

(d) Explain **one** way the internet may affect where a small business chooses to locate.

(3)

(Total for Question 1 = 8 marks)

3

Turn over ►



The only correct answer is C – Spotting where there is a gap in the market. A is not correct because it is not identified using a market map. B is not correct because it is not identified using a market map. D is not correct because it is not identified using a market map.

Look at this sub-question (Q5(c), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 11, 12, 13, 26 (JUNE 2023 PAPER 1)

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- 5 Table 2 shows forecasts from the business plan for month one of *Lili Heating Ltd*.

Cash inflows	Cash outflows	Opening balance
£8 600	£11 000	£4 000

Table 2

- (a) Using the information in Table 2, calculate *Lili Heating Ltd*'s forecasted closing balance at the end of month one. You are advised to show your workings.

(2)

£



P 7 1 0 3 6 A 0 1 1 2 4

11

Turn over ►

As part of her market research Amelia collected quantitative research from the Birmingham City Council website. Some of this information can be seen in Table 3.

BIRMINGHAM			
2019 Population by five-year age groups			
Age	Males	Females	Total
30–34	41,500	41,200	82,700
35–39	37,600	38,600	76,200
40–44	33,300	33,700	67,000
45–49	33,000	33,700	66,700
50–54	32,000	33,500	65,500

Table 3

(Source: adapted from https://www.birmingham.gov.uk/downloads/file/10293/2017_birmingham_population_tool)

- (b) Using the information in Table 3, calculate to 2 decimal places, the percentage of people in the age group 45–49 that are female. You are advised to show your workings.

(2)

.....%



(6)

13

P 7 1 0 3 6 A 0 1 3 2 4

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



(Source: © Shutterstock)

Figure 2

Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area.

Amelia is now in a position where she wants to start her own plumbing business called *Lili Heating Ltd*. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes.

As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend *Lili Heating Ltd* to their friends and families. For this to happen she knows that her work must be of the highest standard.

Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.



Indicative content: Using the internet as a source of secondary market research is a fast and convenient way to discover how many females live in Birmingham (AO2). The internet will not provide focused information to let Amelia know if there will be enough demand for her plumbing and building services (AO2). Although she knows how many females live in Birmingham, it would be difficult to find out how many of them own a property or would want a female plumber to work in their homes (AO3a). Lili Heating Ltd will be in competition against other established plumbers. Amelia will need to spend more time developing her target market to make sure there are enough potential customers (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q2(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2024 PAPER 1)

2 (a) Which **two** of the following could be used to collect secondary market research?

(2)

Select **two** answers.

- ☐ A Focus group
- ☐ B Internet
- ☐ C Market reports
- ☐ D Observation
- ☐ E Survey

(b) Which **two** of the following are covered by employment law?

(2)

Select **two** answers.

- ☐ A Consumer rights
- ☐ B Discrimination
- ☐ C Health and safety
- ☐ D Product quality
- ☐ E Taxation

Table 1 contains information for a small business.

Fixed costs	£7 500
Variable cost	£2 per unit
Selling price	£6 per unit
Output	5,000 units

Table 1

(c) Using the information in Table 1, calculate the total costs for the small business.
You are advised to show your workings.

(2)

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(d) Explain **one** disadvantage to a small business from using retained profit for expansion.

(3)

(e) Explain **one** advantage of opening up a business as a franchise.

(3)

(Total for Question 2 = 12 marks)



5

Turn over ►

The only correct answers are B - Internet and C - Market reports. A is not correct because it is a primary research method. D is not correct because it is a primary research method. E is not correct because it is a primary research method.

1.2.3 Market segmentation (6 questions)

June 2019 · Paper 1 · Q1(d) · \$A

Explain

3 marks

Look at this sub-question (Q1(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2019 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is a short-term source of finance?

Select **one** answer.

(1)

- ☐ A Retained profit
- ☐ B Share capital
- ☐ C Trade credit
- ☐ D Venture capital

- (b) Which **one** of the following is a definition of an exchange rate?

Select **one** answer.

(1)

- ☐ A The flow of goods and services into a country
- ☐ B The value of one currency in terms of another currency
- ☐ C A tax on a particular good or service
- ☐ D When businesses operate on an international scale

- (c) Explain **one** benefit to an entrepreneur of buying a franchise to start a business.

(3)

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(3)

(Total for Question 1 = 8 marks)

3

Turn over ►



Award 1 mark for identification of one way, plus 2 further marks for explaining this way up to a total of 3 marks. A small business could use market segmentation by using gender (1). Different products can be targeted to customers depending on if they are male or female (1). This will lead to a business being able to meet the needs of those particular customers (1). A small business could segment a market using income (1). People with a higher level of income are more likely to buy luxury goods (1). This means a business could develop a higher quality product to target these customers (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q6(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17 (NOV 2020 PAPER 1)

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6 (a) State **one** market segment that *On Your Bike* has targeted.

(1)

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(b) Outline **one** impact on *On Your Bike* of an increase in the value of the pound.

(2)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



P 6 1 6 4 6 A 0 1 7 2 4

17

Turn over ►

Award 1 mark for stating one market segment targeted by On Your Bike. Children (or their parents) buying first cycles or scooters (1). Cycling enthusiasts interested in mountain biking (1). Tourists looking to rent cycles whilst on holiday (1). Accept any other appropriate response. Do not accept market segments that would not be appropriate for On Your Bike. For example, low income groups as the average price of bikes is £550.

Look at this sub-question (Q5(c), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 12, 13 (NOV 2021 PAPER 1)

Sports Tours Ltd has been organising football tours to Munich, Germany since 2010. The price of a hotel room in Munich in 2010 was €100.

5 Table 2 shows the value of the pound (£) in euros (€) in June 2010 and June 2019.

	Number of euro (€) per pound (£)
June 2010	1.23
June 2019	1.13

Table 2

- (a) Using the information in Table 2, calculate, to 2 decimal places, the price in pounds (£) of a hotel room in 2010. You are advised to show your workings.

(2)

£

In 2019 the cost of a hotel room had increased to €130.

- (b) Using the information in Table 2, calculate, to 2 decimal places, the price in pounds (£) of a hotel room in 2019. You are advised to show your workings.

(2)

£



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(c) Analyse the impact on *Sports Tours Ltd* of using market mapping to target customers.

(6)

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(Total for Question 5 = 10 marks)



P 6 7 6 1 9 A 0 1 3 2 4

13

Turn over ►

Indicative content: Market mapping allows Sports Tours Ltd to spot gaps in the market where tours can be offered to groups of customers that are interested in different sports such as netball and hockey (AO2). Market mapping may identify a gap that exists because there is not enough demand in this sport or type of tour. This could lead to Sports Tours Ltd targeting a market that does not exist (AO2). This will allow the business to reach a wider range of customers because it is not specialising in just one sport. There is a wide range of team sports played in the UK (AO3a). There are some minority sports where there will not be enough teams to organise fixtures. If Sports Tours Ltd targets these markets then it may lead to business failure (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q1(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2022 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an example of a variable cost?

(1)

Select **one** answer.

- ☐ A Insurance
- ☐ B Packaging
- ☐ C Rent
- ☐ D Salaries

- (b) Which **one** of the following could be used to identify a market segment?

(1)

Select **one** answer.

- ☐ A Demographics
- ☐ B Inflation
- ☐ C Marketing mix
- ☐ D Revenue

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(c) Explain **one** risk for an entrepreneur when starting a new business.

(3)

(d) Explain **one** way a small business could add value to a product.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

The only correct answer is A – Demographics. B is not correct because it is an impact of the economic climate. C is not correct because it is the marketing decisions made by a business. D is not correct because it is the income derived from sales.

Look at this sub-question (Q5(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 11, 12, 13, 26 (JUNE 2023 PAPER 1)

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- 5 Table 2 shows forecasts from the business plan for month one of *Lili Heating Ltd*.

Cash inflows	Cash outflows	Opening balance
£8 600	£11 000	£4 000

Table 2

- (a) Using the information in Table 2, calculate *Lili Heating Ltd*'s forecasted closing balance at the end of month one. You are advised to show your workings.

(2)

£



P 7 1 0 3 6 A 0 1 1 2 4

11

Turn over ►

As part of her market research Amelia collected quantitative research from the Birmingham City Council website. Some of this information can be seen in Table 3.

BIRMINGHAM			
2019 Population by five-year age groups			
Age	Males	Females	Total
30–34	41,500	41,200	82,700
35–39	37,600	38,600	76,200
40–44	33,300	33,700	67,000
45–49	33,000	33,700	66,700
50–54	32,000	33,500	65,500

Table 3

(Source: adapted from https://www.birmingham.gov.uk/downloads/file/10293/2017_birmingham_population_tool)

- (b) Using the information in Table 3, calculate to 2 decimal places, the percentage of people in the age group 45–49 that are female. You are advised to show your workings.

(2)

.....%



(6)

(Total for Question 5 = 10 marks)



13

Turn over ►

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



(Source: © Shutterstock)

Figure 2

Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area.

Amelia is now in a position where she wants to start her own plumbing business called *Lili Heating Ltd*. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes.

As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend *Lili Heating Ltd* to their friends and families. For this to happen she knows that her work must be of the highest standard.

Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.



Substitution into correct formula: $(33,700 \div 66,700) \times 100$ (1). Answer: 50.52% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q1(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2024 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is a way of segmenting a market?

(1)

Select **one** answer.

- ☐ A Cost
- ☐ B Income
- ☐ C Media
- ☐ D Profit

- (b) Which **one** of the following is a definition of insolvency?

(1)

Select **one** answer.

- ☐ A Business failure due to unpaid debts
- ☐ B Credit offered by suppliers
- ☐ C The cost of borrowing money
- ☐ D When two businesses join together

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(c) Explain **one** disadvantage of starting a business as a partnership.

(3)

(d) Explain **one** advantage to customers from increased competition.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

The only correct answer is B - Income. A is not correct because it is not a way of segmenting a market. C is not correct because it is not a way of segmenting a market. D is not correct because it is not a way of segmenting a market.

1.2.4 The competitive environment (15 questions)

Specimen SAMS · Paper 1 · Q1(c) · 5A

Explain

3 marks

Look at this sub-question (Q1(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 6 (SPECIMEN SAMS PAPER 1)

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit, up to a total of 3 marks. The market map will help to identify key features of competitors (1), which allows the business to spot a gap in the market (1) so they can focus on features to make themselves different (1). A market map can help a business make decisions about its products (1) so that the features of the products are different from their competitors (1), which makes it likely that they will get more customers (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q3(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 11 (SPECIMEN SAMS PAPER 1)

Please check the examination details below before entering your candidate information

Candidate surname				Other names			
Centre Number				Candidate Number			

Pearson Edexcel Level 1/Level 2 GCSE (9–1)

Sample assessment materials for first teaching September 2017

Time 1 hour 45 minutes

Paper reference **1BS0/01**

Business

PAPER 1: Investigating small business

You must have:
Source Booklet (enclosed)

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- There are **three** sections in this paper.
- Answer **all** the questions in the spaces provided
– *there may be more space than you need.*
- Calculators may be used.
- You are advised to **show all your working out** with **your answer clearly identified** at the **end of your solution**.

Information

- The total mark for this paper is 90.
- The marks for **each** question are shown in brackets
– *use this as a guide as to how much time to spend on each question.*

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ►

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Pearson

Pearson Edexcel Level 1/Level 2 GCSE (9–1) in Business – Sample assessment materials
Issue 2 – March 2023 © Pearson Education Limited 2023

5

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. There will be a lot of competitors (1). Therefore the business may have to charge a lower price (1). This may mean that the business does not generate as high a profit (1). Competitors put pressure on a business to provide a high-quality product (1). If it does not do this, customers will choose one of the rivals (1). As a result of this, sales and revenue are likely to fall (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q5(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 26 (SPECIMEN SAMS PAPER 1)

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(d) Explain **one** method a business could use to add value to its product.

(3)

(e) Explain **one** reason why an entrepreneur would produce a business plan.

(3)

(Total for Question 2 = 12 marks)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figures 4, 5, 6 and read Extract B, then answer Question 7.

- 7 (a) State **one** risk that Sally faces in starting this business.

(1)

- (b) Identify which of Sally's competitors is the most expensive per hour.

(1)

- (c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

Sally is considering whether or not to buy a franchise to start up on her own.

- (d) Justify whether or not Sally should buy a franchise.

(9)

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Award up to 2 marks for linked points outlining an impact of lengthy queues on Meringue. Award a maximum of 1 mark if points are not linked. Long queues may lead to customers not returning to Meringue (1), preferring to visit competing cafes where paying for food is more efficient (1). Long queues may deter customers who are passing and look into the cafe (1), which may mean that they go elsewhere and Meringue loses potential sales (1). Do not accept impacts that would not be appropriate for the context of a small town centre bakery and cafe such as Meringue, for example going to another branch.

Look at this sub-question (Q7(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 20, 27 (SPECIMEN SAMS PAPER 1)

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(Total for Question 4 = 8 marks)

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Blank lined area for writing answers.

Competitor 1: 'Vitality' personal instructor

Look at this sub-question (Q7(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23 (JUNE 2019 PAPER 1)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



aphrodite

© Aphrodite Clothing

Aphrodite is a clothes shop that was formed in 1994 by two brothers, Andrew and Duncan McKenzie. They opened the shop because they had a lifelong enthusiasm for new fashion.

Andrew and Duncan visit Paris, Milan and London each year to buy their stock. They aim to buy well-known brands, such as Stone Island and Hugo Boss, and to also stock clothes from new designers. This range of stock helps provide them with an advantage over their competition.

Customer service has always been an important part of *Aphrodite's* success. A polite and friendly attitude greets all customers on arrival at the shop. In 2007 the business launched its website, which sells its range of clothing using e-commerce. The owners looked to maintain existing high standards of service for customers using their website.

A new opportunity was created when the shop premises next to *Aphrodite* became available to buy. Andrew and Duncan are considering buying the shop in order to convert the two shops into one large premises. They have calculated that this will cost them £250 000 but are undecided on the best way to finance this.

Figure 2 shows information about interest rates that might help them when making their decision.

(Source: adapted from <https://www.aphrodite1994.com/about-us> and interview with owner 9/10/2017; photo: © fiphoto/Shutterstock)

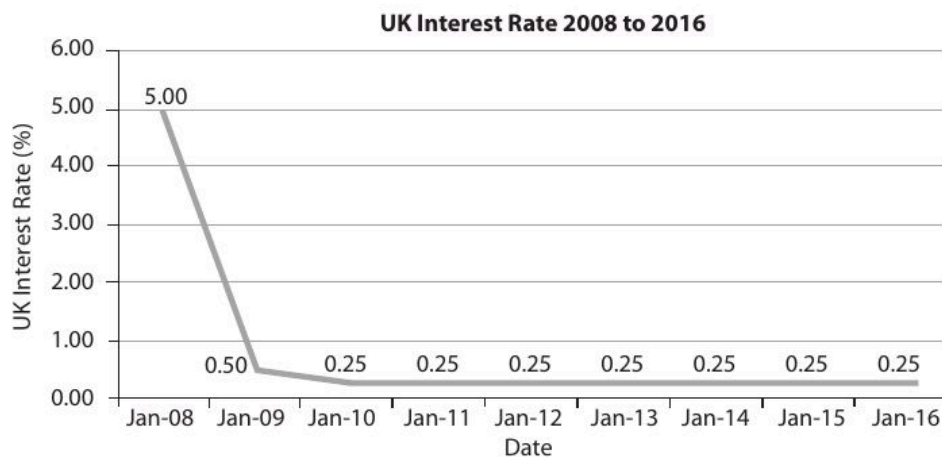


Figure 2



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- 7 (a) State **one** way *Aphrodite* could use social media.

(1)

Table 3 shows the value of the pound (£) in euros (€) from June to September.

Month	Number of euro (€) per pound (£)
June	1.13
July	1.11
August	1.09
September	1.14

Table 3

- (b) Identify, from Table 3, which month was best for *Aphrodite* to import clothes from Paris.

(1)

- (c) Outline **one** reason why *Aphrodite's* range of stock could give it an advantage over its competitors.

(2)



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(e) Evaluate the impact of e-commerce on *Aphrodite's* marketing mix. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



P 5 9 9 2 5 A 0 2 3 2 4

Award up to 2 marks for linked points outlining a reason why Aphrodite's range of stock gives it an advantage. Award a maximum of 1 mark if points are not linked. Aphrodite can stock a range of clothes that no other shop has (1). This will attract customers who like buying new fashion (1). New designers may offer special discounts to Aphrodite to stock their clothes (1). This gives Aphrodite a cost advantage over competition (1). Do not accept a reason that would not be appropriate for Aphrodite. For example, Aphrodite can produce clothes of higher quality than other businesses.

Look at this sub-question (Q7(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 24 (JUNE 2019 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

In August 2017, UK supermarket group *Sainsbury's* decided to cut its costs by £500 million to remain competitive.

One of the changes *Sainsbury's* made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, *Sainsbury's* can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers.



© Fairtrade Foundation 2017

Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London.



© andrew aitchison

Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. *Sainsbury's* wants to retrain shop floor employees to improve the customer service in its stores.

(Source: adapted from <https://www.theguardian.com/business/2017/jul/09/sainsburys-finds-itself-in-hot-water-over-fairtrade-tea>)



7 (a) Give **one** stage of the sales process.

(1)

Figure 2 shows the market share of UK supermarkets in 2017.

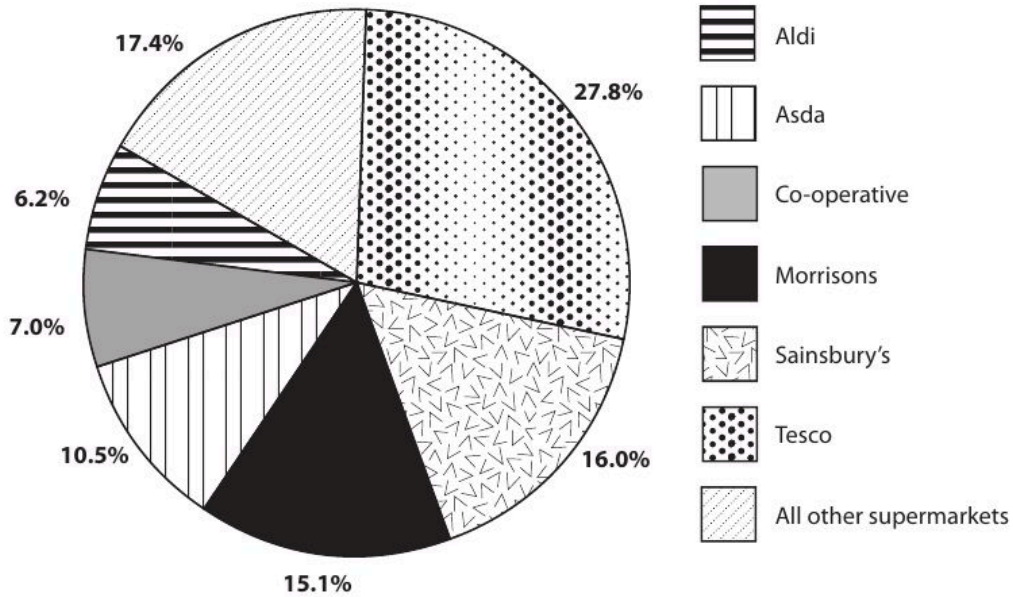


Figure 2

(Source: <https://www.kantarworldpanel.com/en/grocery-market-share/great-britain>)

(b) Using the information in Figure 2, identify the UK supermarket with a larger market share than *Sainsbury's*.

(1)



(c) Outline **one** advantage to *Sainsbury's* of improving its customer service.

(2)

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In order to improve the motivation of its shop floor employees, *Sainsbury's* is considering two options:

Option 1: retraining

Option 2: increase wages.

(d) Justify which **one** of these two options *Sainsbury's* should choose.

(9)

Handwriting practice lines for the answer.



21

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Handwriting practice area with six horizontal dotted lines.

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- (e) Evaluate the likely impact on *Sainsbury's* of replacing Fairtrade with its own Fairly Traded scheme. You should use the information provided as well as your knowledge of business.

(12)

Handwriting practice area with horizontal lines.



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23

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS

TOTAL FOR PAPER = 90 MARKS



Tesco (1)

Look at this sub-question (Q1(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (NOV 2020 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an example of a reward from business activity?

(1)

Select **one** answer.

- ☐ A Financial loss
- ☐ B Increased overheads
- ☐ C Independence
- ☐ D Lack of security

- (b) Which **one** of the following is a definition of market share?

(1)

Select **one** answer.

- ☐ A Market research that can be collected and analysed
- ☐ B The proportion of sales in a market made by one business
- ☐ C The total amount of money from business sales
- ☐ D A group of people who discuss their views on a product

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(c) Explain **one** benefit to a small business from having a unique selling point.

(3)

(d) Explain **one** advantage to a small business of using trade credit as a source of finance.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

The only correct answer is B - The proportion of sales in a market made by one business. A is not correct because it is a definition of market research data. C is not correct because it is a definition of revenue. D is not correct because it is a definition of a focus group.

Look at this sub-question (Q1(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (NOV 2020 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an example of a reward from business activity?

(1)

Select **one** answer.

- ☐ A Financial loss
- ☐ B Increased overheads
- ☐ C Independence
- ☐ D Lack of security

- (b) Which **one** of the following is a definition of market share?

(1)

Select **one** answer.

- ☐ A Market research that can be collected and analysed
- ☐ B The proportion of sales in a market made by one business
- ☐ C The total amount of money from business sales
- ☐ D A group of people who discuss their views on a product

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(c) Explain **one** benefit to a small business from having a unique selling point.

(3)

(d) Explain **one** advantage to a small business of using trade credit as a source of finance.

(3)

(Total for Question 1 = 8 marks)



P 6 1 6 4 6 A 0 3 2 4

3

Turn over ►

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. A unique selling point will give a small business a competitive advantage (1). This would make customers more likely to buy from the business rather than from the competition (1). This means the business will benefit from increased market share (1). A unique selling point will allow a small business to add value (1). This means it should be able to operate profitably (1), which reduces the chance of business failure (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q3(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (NOV 2020 PAPER 1)

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3 (a) Which **one** of the following is a characteristic of a sole trader?

(1)

Select **one** answer.

- ☐ A They require a business qualification
- ☐ B They have unlimited liability
- ☐ C They can sell shares to raise finance
- ☐ D They do not employ staff

Figure 1 shows the total costs for a business between May and July.

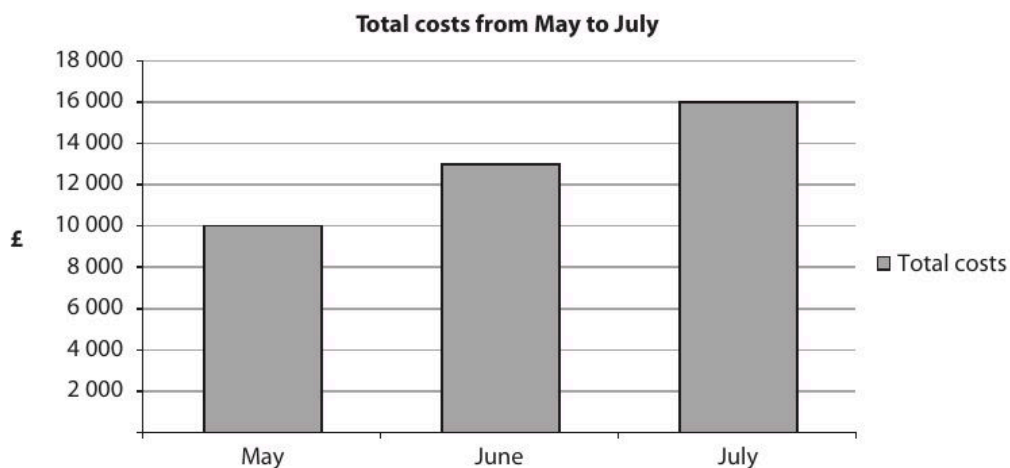


Figure 1

(b) Using the information in Figure 1, calculate the percentage change in total costs between May and July. You are advised to show your workings.

(2)

..... %



7

Turn over ►

(c) Explain **one** reason why new business ideas come about.

(3)

(d) Explain **one** advantage to a small business of using market mapping.

(3)

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(e) Discuss how the decision making of a small business may be affected by increased competition.

(6)

(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



9

Turn over ►

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Market mapping will allow a small business to spot a gap in the market (1). This can lead to the business developing a product/service to help fill this gap (1). As a result, the small business may capture market share from competition (1). Market mapping can help a small business analyse its competitors (1). This may help the business when making business decisions (1). This may lead to a reduced risk of failure (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q3(e), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (NOV 2020 PAPER 1)

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3 (a) Which **one** of the following is a characteristic of a sole trader?

(1)

Select **one** answer.

- ☐ A They require a business qualification
- ☐ B They have unlimited liability
- ☐ C They can sell shares to raise finance
- ☐ D They do not employ staff

Figure 1 shows the total costs for a business between May and July.

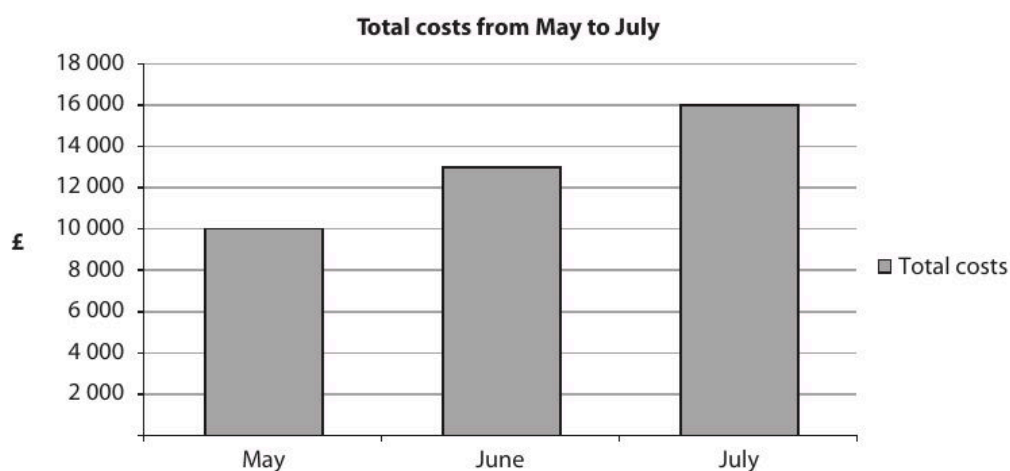


Figure 1

(b) Using the information in Figure 1, calculate the percentage change in total costs between May and July. You are advised to show your workings.

(2)

..... %



P 6 1 6 4 6 A 0 7 2 4

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Turn over ►

(c) Explain **one** reason why new business ideas come about.

(3)

(d) Explain **one** advantage to a small business of using market mapping.

(3)

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(e) Discuss how the decision making of a small business may be affected by increased competition.

(6)

(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



9

Turn over ►

Indicative content: Increased competition will affect how a small business decides what price to charge (AO1b). Increased competition will affect location decisions for a small business (AO1b). Therefore, a small business may decide to use a competitive pricing strategy to maintain market share (AO3a). Therefore, a small business may decide not to locate in an area where there is lots of competition as it will find it difficult to attract customers (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q7(e), 12 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23 (NOV 2020 PAPER 1)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: © Locosurfing.com)

Since then *Loco* has surrounded itself with creative talent. This includes world class SUP shapers, graphic designers and team riders, who compete in competitions using its boards. Within months of its new SUPs becoming available, one of the team went on to win the British National Championship and represent Team GB in the World Championships.



(Source: © Longjourneys/Shutterstock)

Loco now sells an extensive range of SUPs, surf and kite boards throughout the UK and Europe and is ready to further extend its brand. Joe feels that the use of digital marketing using social media is vital in this growth. This combination of creative marketing and Joe's active role in the business, by offering advice to customers, has provided him with a firm belief that *Loco* can compete against larger manufacturers.

(Source: adapted from <https://locosurfing.com/> and interview with owner 8/06/2018)

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- 7 (a) State **one** stakeholder of *Loco*.

(1)

Table 3 shows the interest rate paid on savings between 2014 and 2017.

Year	Interest rate (%)
2014	1.49
2015	1.40
2016	1.25
2017	1.00

Table 3

- (b) Using the information in Table 3, identify the best year for *Loco* to save any retained profit it may have.

(1)

- (c) Outline **one** way that a business plan could have helped Joe Thwaites when starting *Loco*.

(2)



P 6 1 6 4 6 A 0 1 9 2 4

In order to make improvements to the business, *Loco* is considering two options:

Option 1: introduce a digital payment system e.g. PayPal

Option 2: hold online meetings using digital communication.

(d) Justify which **one** of these two options *Loco* should choose.

(9)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



P 6 1 6 4 6 A 0 2 3 2 4

Indicative content: Loco will be able to compete because its flexibility will help meet customer needs (AO1b). The larger manufacturers already have existing market share and position (AO1b). The owner of Loco was able to be innovative in designing new SUPs after working with professional SUP riders in Fuerteventura (AO2). Stand up paddle boarding is not a mass market sport so has relatively low numbers of participants (AO2). The flexibility of the business may allow it to make individual changes to its products as requested by its customers. Larger manufacturers may not be able to do this as the SUPs are manufactured in larger batches, or in bulk. This may be important to professional SUP riders who want bespoke products. If professional riders select Loco products, then the brand of the business will grow and become attractive to other customers (AO3a). The size of the market makes it difficult for new brands to become established. Large manufacturers benefit from economies of scale and can make it difficult for new businesses to compete on price. They will have lower average costs and will benefit from spending more money on marketing (AO3a). However, this will depend on how much the design process and time spent creating the new boards will increase the average costs of making the SUPs. This may therefore lead to higher prices. This may not affect the professional riders but will make it difficult for other riders to buy the SUPs. This could therefore discourage them from buying Loco boards rather than those of the larger manufacturers (AO3b). However, the competitive nature of paddle boarding means that customers may look to buy the best equipment. The large manufacturers may find it difficult to compete with smaller businesses like Loco because Joe can offer personal help and advice to customers when buying their equipment. This personal touch may not be able to be directly given by a large manufacturer (AO3b).

Level 1 (1-4): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b).

Level 2 (5-8): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b).

Level 3 (9-12): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

Look at this sub-question (Q3(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (NOV 2021 PAPER 2)

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- 3 (a) Procurement involves a business having a strong relationship with which **one** of the following stakeholder groups?

(1)

Select **one** answer.

- ☐ A Local community
☐ B Managers
☐ C Pressure groups
☐ D Suppliers

Figure 2 shows the market share of each business in a market.

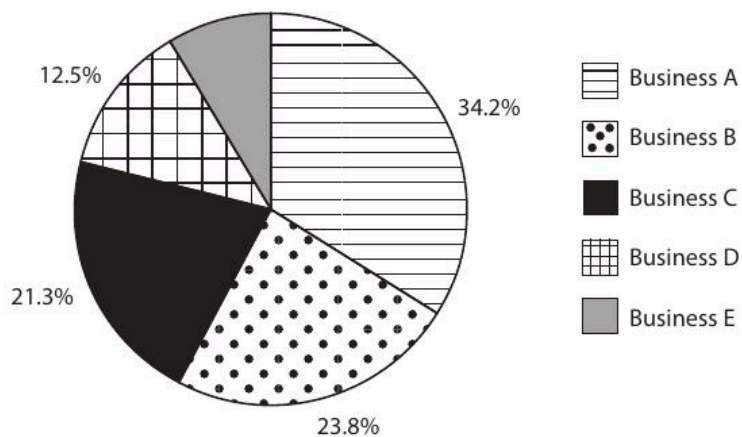


Figure 2

- (b) Using the information in Figure 2, calculate the market share of Business E. You are advised to show your workings.

(2)

..... %



7

Turn over ►

(c) Explain **one** reason why having a post-sales service may be important to a business.

(3)

(d) Explain **one** impact on a business from reducing the size of its workforce.

(3)

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(e) Discuss the disadvantage to a business of using a just in time (JIT) system of stock control.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



9

Turn over ►

Substitution into correct formula: $(100\% - 34.2\% - 23.8\% - 21.3\% - 12.5\%)$ (1). Answer: 8.2% (1). Award full marks for correct numerical answer without working.

Look at this sub-question (Q2(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5 (JUNE 2023 PAPER 1)

2 (a) Which **two** of the following are examples of customer needs?

(2)

Select **two** answers.

- ☐ A Choice
- ☐ B Profit
- ☐ C Quality
- ☐ D Risk
- ☐ E Taxation

(b) Which **two** of the following are roles of an entrepreneur?

(2)

Select **two** answers.

- ☐ A Going to university
- ☐ B Organising resources
- ☐ C Personal satisfaction
- ☐ D Taking risks
- ☐ E To be a sole trader

Table 1 contains information about a small business.

Fixed costs	£10 000
Variable cost	£2.50 per unit
Selling price	£5.00 per unit
Break even level of output	4,000 units

Table 1

The business increases the selling price of its product to £6.50 per unit.

(c) Using the information in Table 1, calculate the decrease in the break even level of output. You are advised to show your workings.

(2)

..... units





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(d) Explain **one** way a small business could become more competitive.

(3)

(e) Explain **one** advantage to a small business of meeting its legal obligations.

(3)

(Total for Question 2 = 12 marks)

5

Turn over ►



Award 1 mark for identification of a way, plus 2 further marks for explaining this way up to a total of 3 marks. A small business could gain an advantage by charging lower prices (1). This would mean customers are more likely to buy the product because it is cheaper than other products (1). Therefore, this would attract customers from its competitors as they want to save money (1). A small business could improve the quality of the product (1). This would attract customers because they think they are getting a better product (1). As a result, the business would gain a better reputation than competitors (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q7(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 27 (JUNE 2023 PAPER 2)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 4 and read Extract B, then answer Question 7.

- 7 (a) Give **one** stage of the sales process.

(1)

Figure 5 shows the market share for each company in the virtual reality headset market in 2018 and 2019.

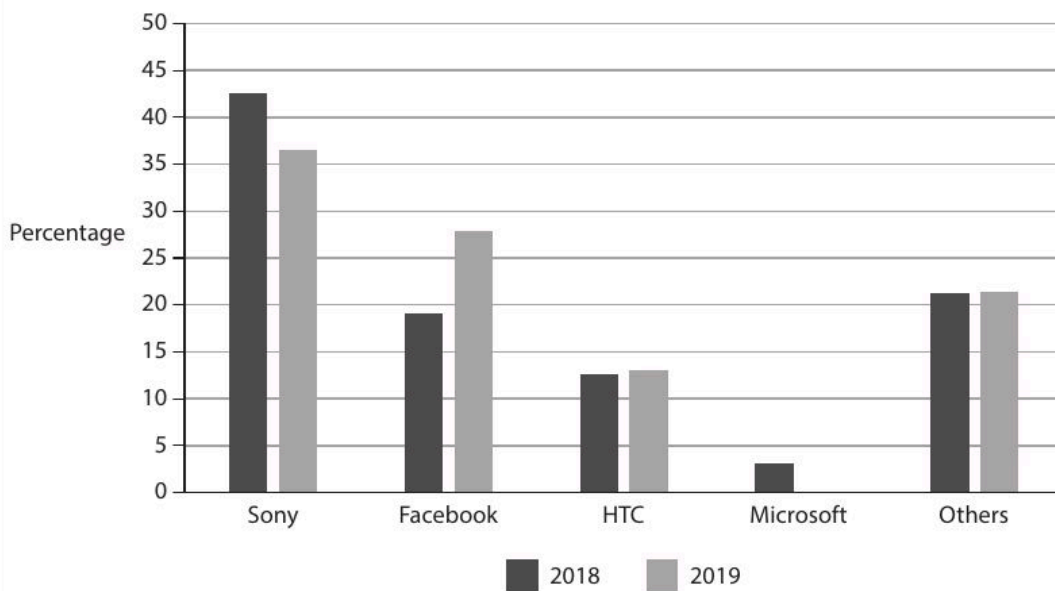


Figure 5

(Source: adapted from <https://www.statista.com/statistics/755645/global-vr-device-market-share-by-vendor/>)

- (b) Using Figure 5, identify the company that left the virtual reality headset market in 2019.

(1)



(c) Outline **one** advantage to *Facebook* of becoming a public limited company (plc).

(2)

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Turn over ►

In order to increase its profit, *Facebook* is considering two options:

Option 1: grow internally

Option 2: grow externally.

(d) Justify which **one** of these two options *Facebook* should choose to increase its profit.

(9)

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Handwriting practice lines consisting of six horizontal dotted lines within a rectangular box.



21

Turn over ►

(e) Evaluate the impact on *Facebook* of its decision to allow its employees to use remote working from home. You should use the information provided as well as your knowledge of business.

(12)

Handwriting practice area with 20 horizontal dotted lines.

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS

23



SECTION C

Look at Figure 4 and read Extract B, then answer Question 7.

Extract B



Figure 4: An Oculus virtual reality headset

In 2004, entrepreneur Mark Zuckerberg started *Facebook*. Then, in 2012, the company floated on the stock exchange and became a public limited company (plc). By 2020, *Facebook* plc had become the largest social networking website in the world with 2.5 billion users and advertising revenues of \$70.1 billion.

The company has used internal and external growth to expand. Between 2012 and 2020, *Facebook* purchased over 60 different companies, including WhatsApp, Instagram and the virtual reality company, Oculus. However, *Facebook* wants to reduce its reliance on revenue from advertising on its websites and sees its future growth coming from new markets such as selling virtual reality headsets. *Facebook* believes that social media is now reaching the maturity phase in its product life cycle in most of its main markets.

In 2020 *Facebook* decided to give employees in its European headquarters in Dublin the option to work from home. *Facebook* believes that remote working will not result in lower productivity. It also believes it will allow *Facebook* to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. *Facebook* believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

(Source: adapted from <https://www.irishtimes.com/business/technology/facebook-to-reopen-irish-offices-in-early-july-1.4259429> and <https://www.theguardian.com/technology/2020/may/21/facebook-coronavirus-remote-working-policy-extended-years/>)

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3

Look at this sub-question (Q1(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2024 PAPER 1)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is a way of segmenting a market?

(1)

Select **one** answer.

- ☐ A Cost
- ☐ B Income
- ☐ C Media
- ☐ D Profit

- (b) Which **one** of the following is a definition of insolvency?

(1)

Select **one** answer.

- ☐ A Business failure due to unpaid debts
- ☐ B Credit offered by suppliers
- ☐ C The cost of borrowing money
- ☐ D When two businesses join together

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(c) Explain **one** disadvantage of starting a business as a partnership.

(3)

(d) Explain **one** advantage to customers from increased competition.

(3)

(Total for Question 1 = 8 marks)



3

Turn over ►

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage, up to a total of 3 marks. One advantage is that customers may pay less for products (1). This is because a business may reduce prices to become more competitive (1). This may lead to customers being able to buy more products (1). Customers will have more choice (1). This is because increased competition leads to more products being available in the market (1). Therefore, a customer will be able to buy products that fully meet their needs (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.